

Contract Practice and Administration

Part 3

MRICS & AIQS APC Coaching Programme

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Advance Payments



Requirement of an Advance payment? – Not in FIDIC 1987, however addressed in FIDIC 1999 & 2017

- To overcome negative cash flow situation of the Contractor at the beginning of the project. This will also help to reduce the tender price by eliminating the financing costs.

Advance payment bond/security/guarantee

- Advance payments are generally paid against an advance payment bond, submitted in approved wording from a bank. Be mindful of operational reduction of value.

Certifying Advance payment

- Upon LOA issuance or signing of the Contract agreement
- Provision of advance payment stated in the Contract.
- Amount or % of the Contract Sum stated in the Contract.
- Performance + advance payment security submitted.
- Contractor applied for Advance payments.

Insurances in Construction

Insurance Type	Coverage
Insurance for Works	Not less than the full reinstatement cost, incl cost of demolition, removal of debris and professional fees and profit.
Third Party	Per occurrence not less than the amount stated in the appendix to tender
Contractor plant & equipment	Not less than the full reinstatement cost, incl delivery to site.
Workmen compensation	Sufficient insurance policy against liability for claims, damages, losses, and expense (incl legal fees) arising from injury, sickness or death of any person employed under the contractor.

If the Contractor involved in Design - **Professional indemnity Insurance**

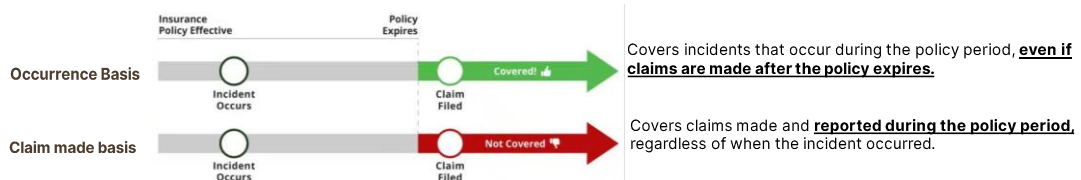
CAR (Contractor All Risk) Insurance

A non standard insurance policy that provides coverage (generally) against,

- material damage due to fire, theft, flood, or other accidental causes (Insurance for works)
- liability costs due to accidental injury, death, or property damage caused to a third party (Third Party Insurance)

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Insurance Occurrence vs Claim made basis



Feature	Occurrence Basis	Claims-Made Basis
Trigger	Date of the incident	Date the claim is reported
Coverage Period	Covers incidents during the policy term, even if claims are made later.	Covers claims made during the policy term only
Premium Cost	Higher	Lower
Long-Term Protection	Provides long-tail protection	Limited to claims made within the policy period or extended reporting period

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Administration of an insurance claim

Insurance for works

- Notify the insurance company
- Photos of the incident
- Police report
- Incident report
- Facilitate loss adjudicator's visit (Appointed by the Insurance Company to assess the damage)
- Submit claim with supporting info.

Professional Indemnity Insurance

- Establish the Duty of Care
- Prove Breach of Duty
- Link the Breach to Harm
- Prove Damages
- Follow the Contractual or Legal Framework
- Provide Notice of Claim
- Gather Evidence
- Attempt Resolution Through Negotiation
- File a Lawsuit (If Necessary)

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Insurances points to know

Remedy if the Contractor's failure to Insure

Employer may take and deduct the premium from the Contractor (Insurance for Works only, with an exception on the instance given below on the 3rd Party Insurance)

Instances when Employer take third party insurance

In situations where liability is more and disproportionate to the Contract sum (example, Harbor / Airports/Nuclear plants etc.)

Umbrella cover

Employer takes the insurance for works + third party (in large development), any additional package will be included as a schedule subject to a maximum liability cap

Deductible

The extent of an amount that is not claimable from the insurance (remedy to avoid small claims)

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Cross liability

Cross Liability

- When insurance is under both the Contractor and the Employer (or Main Contractor and Subcontractor), any damages incurred by either party are treated as if they have individual coverage. This means that both parties can seek compensation for their respective losses independently.

Ex:-

- Assume both the Main Contractor and Employer are insured under the Insurance for Works policy.
- If the Employer damages the works
- The Main Contractor can make a claim against the Employer. (vice versa)
- The insurance policy will cover the damages.

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Subrogation & Waiver of subrogation

Subrogation

Right of the insurance company to sue whoever is responsible for causing the loss to the insured.



Seldomly used now

Waiver of subrogation

- Removes the Right of the insurance company to sue whoever is responsible for causing the loss to the insured.



Ex:-

- Parties to the Contract that agree to waive subrogate.
- Employer's employee negligently caused a fire at site causing a damage of 5Mil
- Contractor's Insurance for Works is obliged to pay the damage of 5 mil,
- But, cannot recover the damages from the Employer.

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Interim valuations and payments

Monthly statement – (Interim payment application) – submitted monthly

- Value of permanent works (original + variations)
- Any other items in the boq (dayworks, contractor's equipment, temp works etc)
- MOS (% as per the contract)
- Price fluctuations (if applicable)
- Any other sum

Interim Payment Certificate

- To be issued within the time frame stated in the Contract.
- Retention calculated as per the % stated in the Contract
- Advance payment recovery as per the % stated in the Contract.
- Deductions (excluding LDs) – contra charges (i.e. engineer's ot, insurances by employer, payment to NSC etc)
- Minimum amount – as stated in the Contract.
- Performance Security – as stated in the Contract, unconditional & on demand, approved by the Employer

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Material on & Off site

Material On Site

- In accordance with the Contract
- Materials required for permanent works
- Materials listed in Appendix to Tender
- 80% of the cost determined by the Engineer
- Properly, Stored and Protected
- Maintaining proper records (Material inspections, delivery notes, invoices, LPOs)

Material Off Site

- In accordance with the Contract
- Materials required for permanent works
- Materials listed in Appendix to Tender
- 80% of the cost determined by the Engineer
- Shipped, in transit or in the verge of delivering to site.
- Bill of Lading or evidence of shipment
- Bank Guarantee similar to an advance payment guarantee Issued by an entity approved by the Employer
- Evidence of payment to freight and insurance
- Any other documents that are reasonably required (i.e. vesting certificate)

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End of Part 3



Thank YOU

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